

Last Time...

Molly



Andrew



Production Table: Farmers' Capacities

	Carrots	Spinach
Molly	5	45
Andrew	4	18

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Op. Cost Table: Farmers' Costs

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Absolute Advantage

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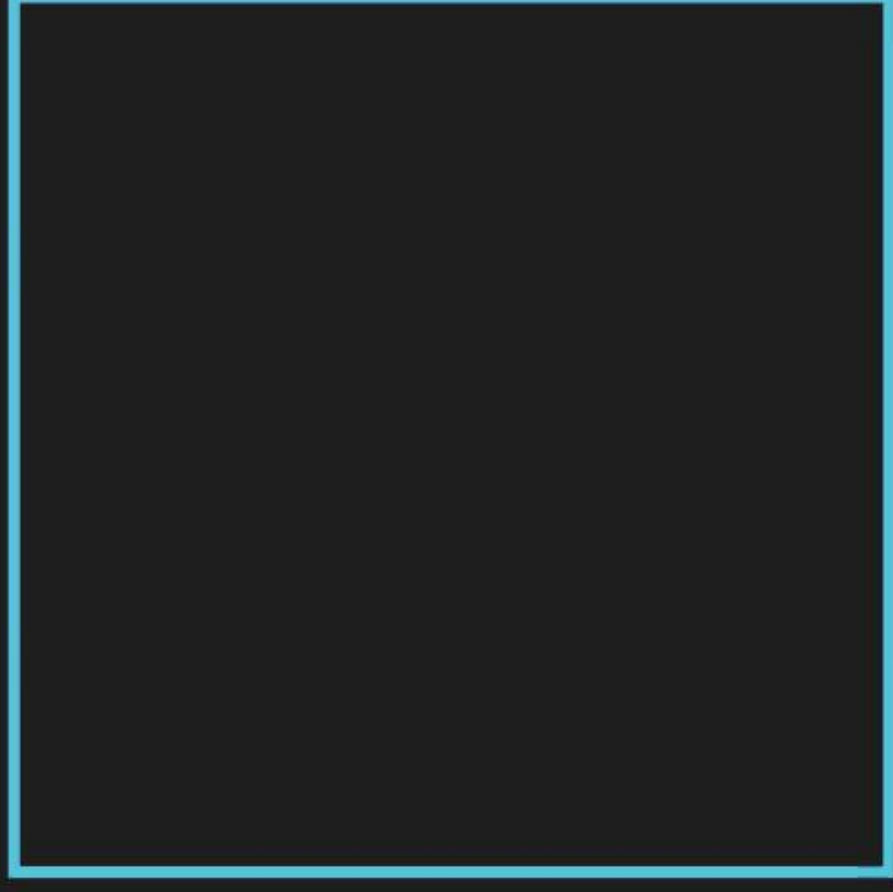
Comparative Advantage

Andrew

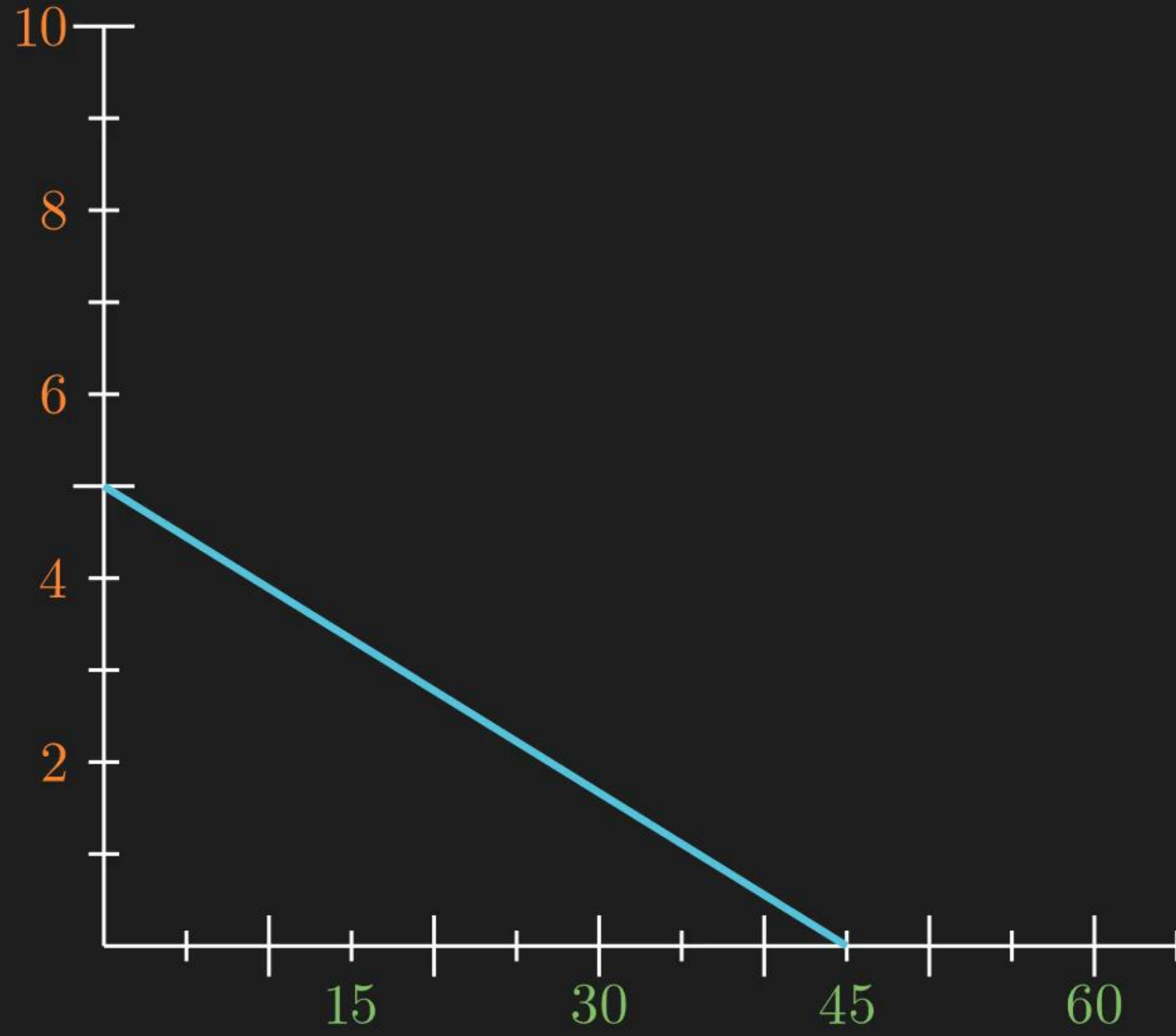


$$1C = 4.5S$$

Molly



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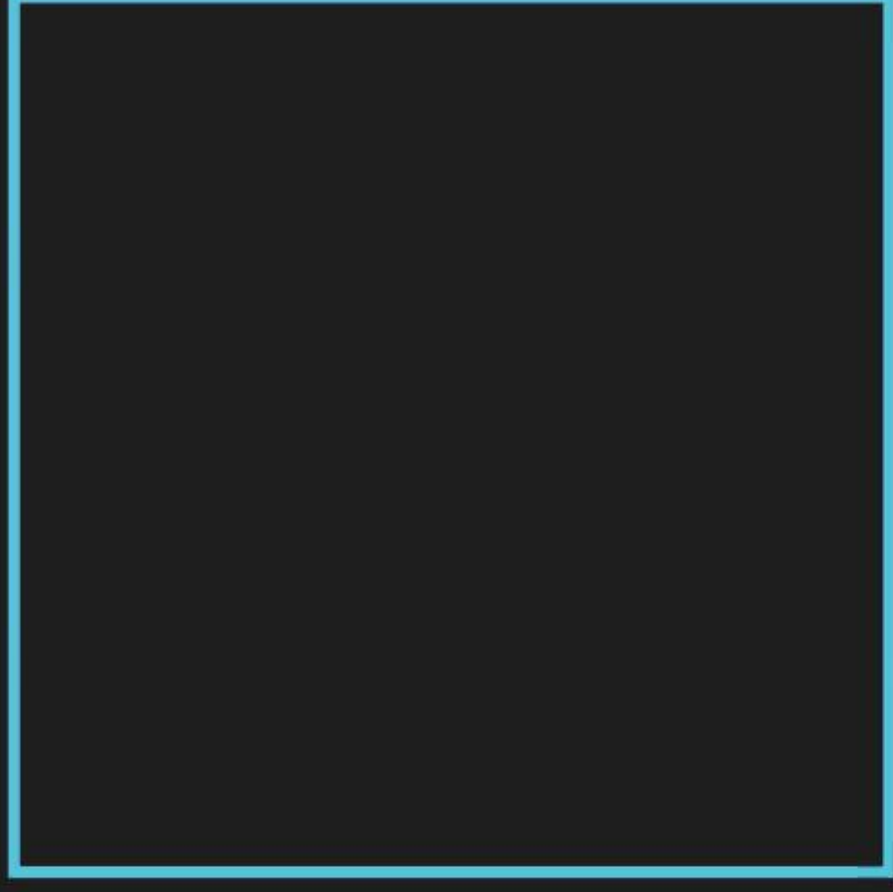


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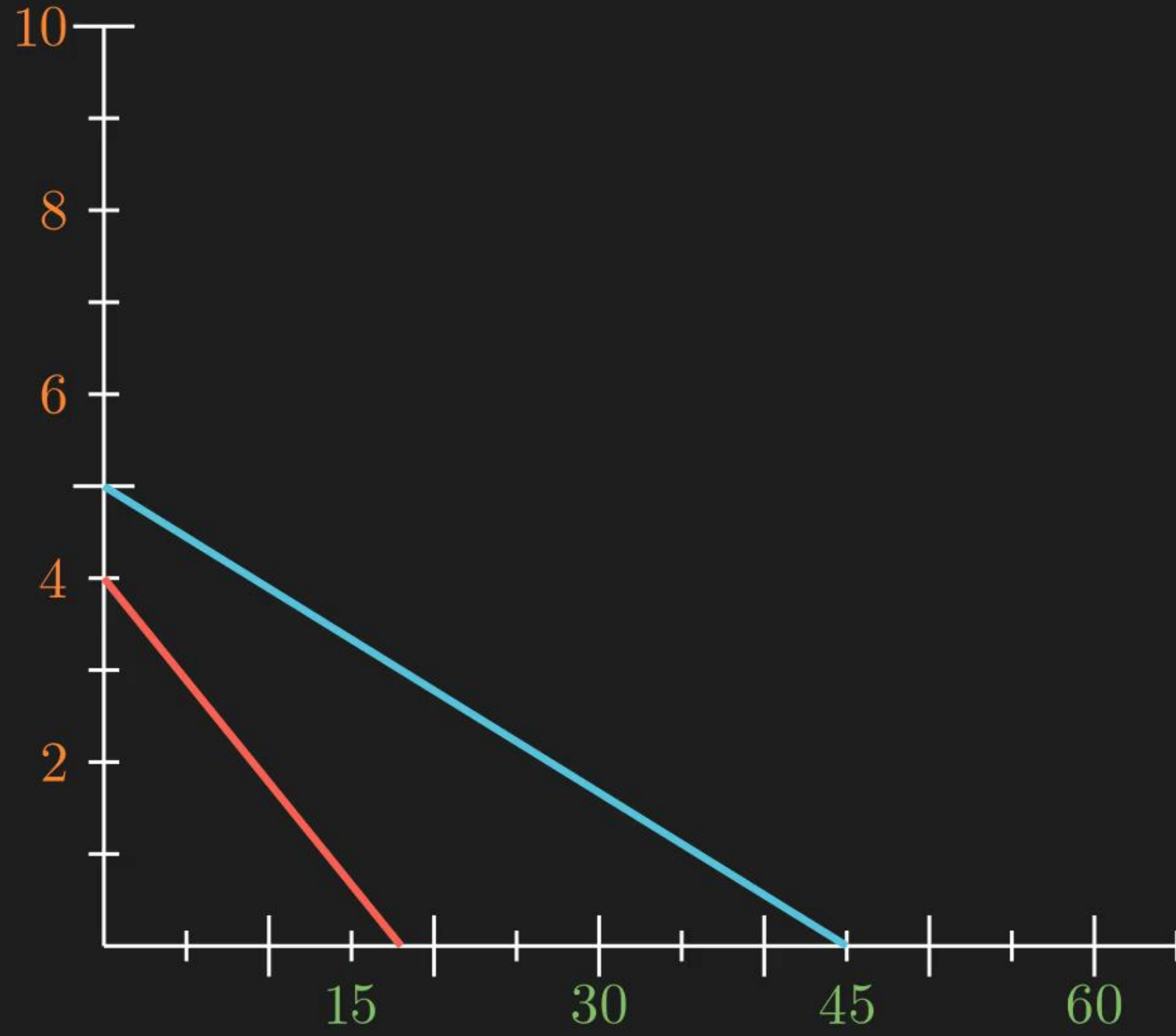


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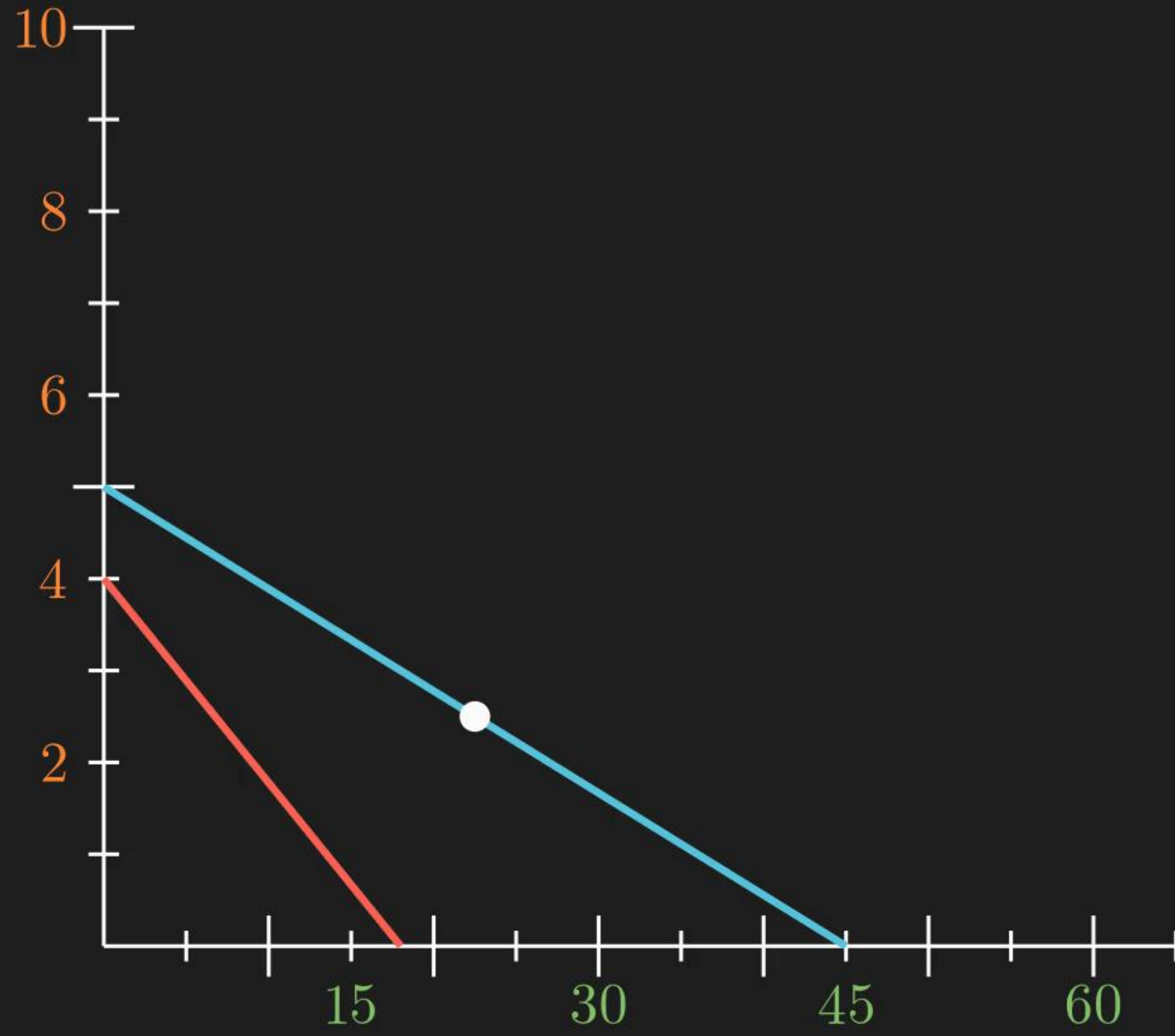


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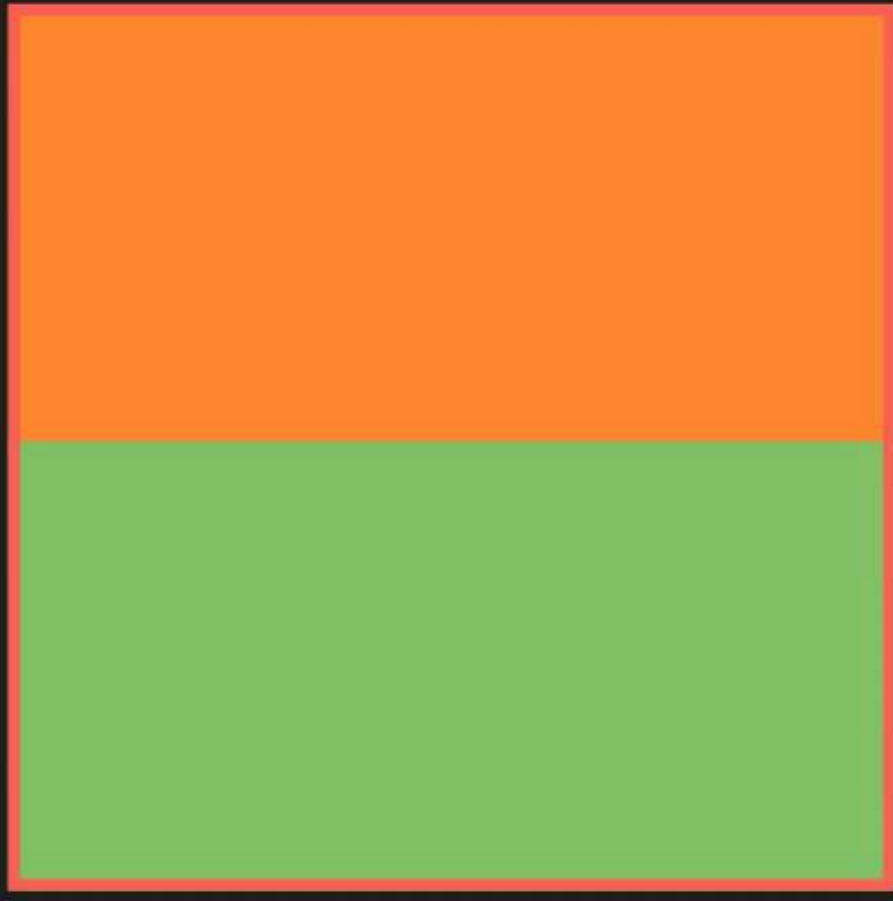
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Andrew

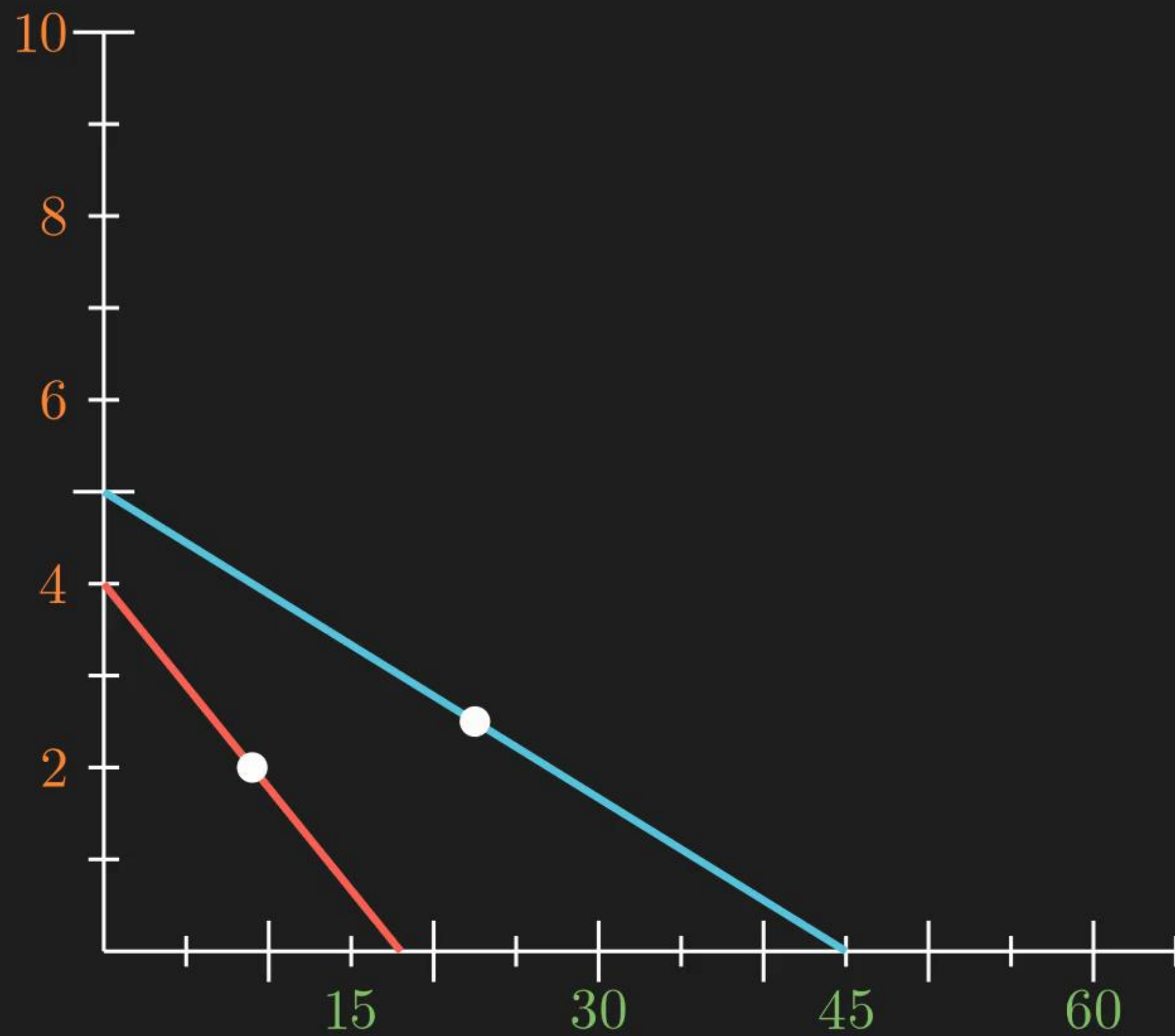


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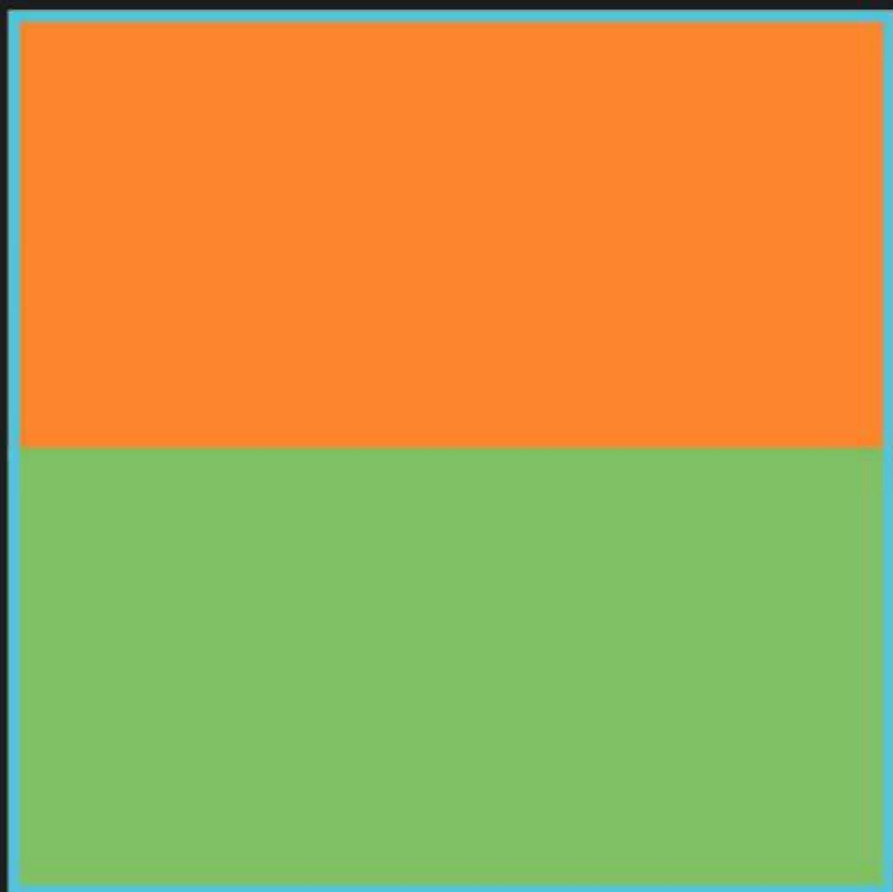
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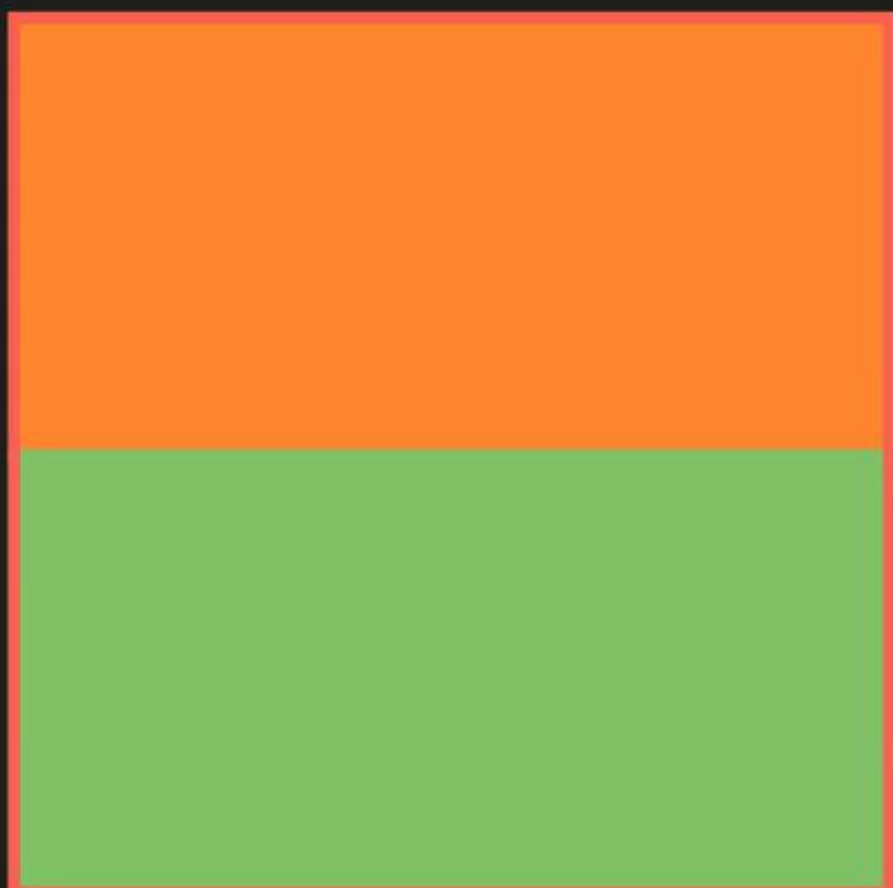


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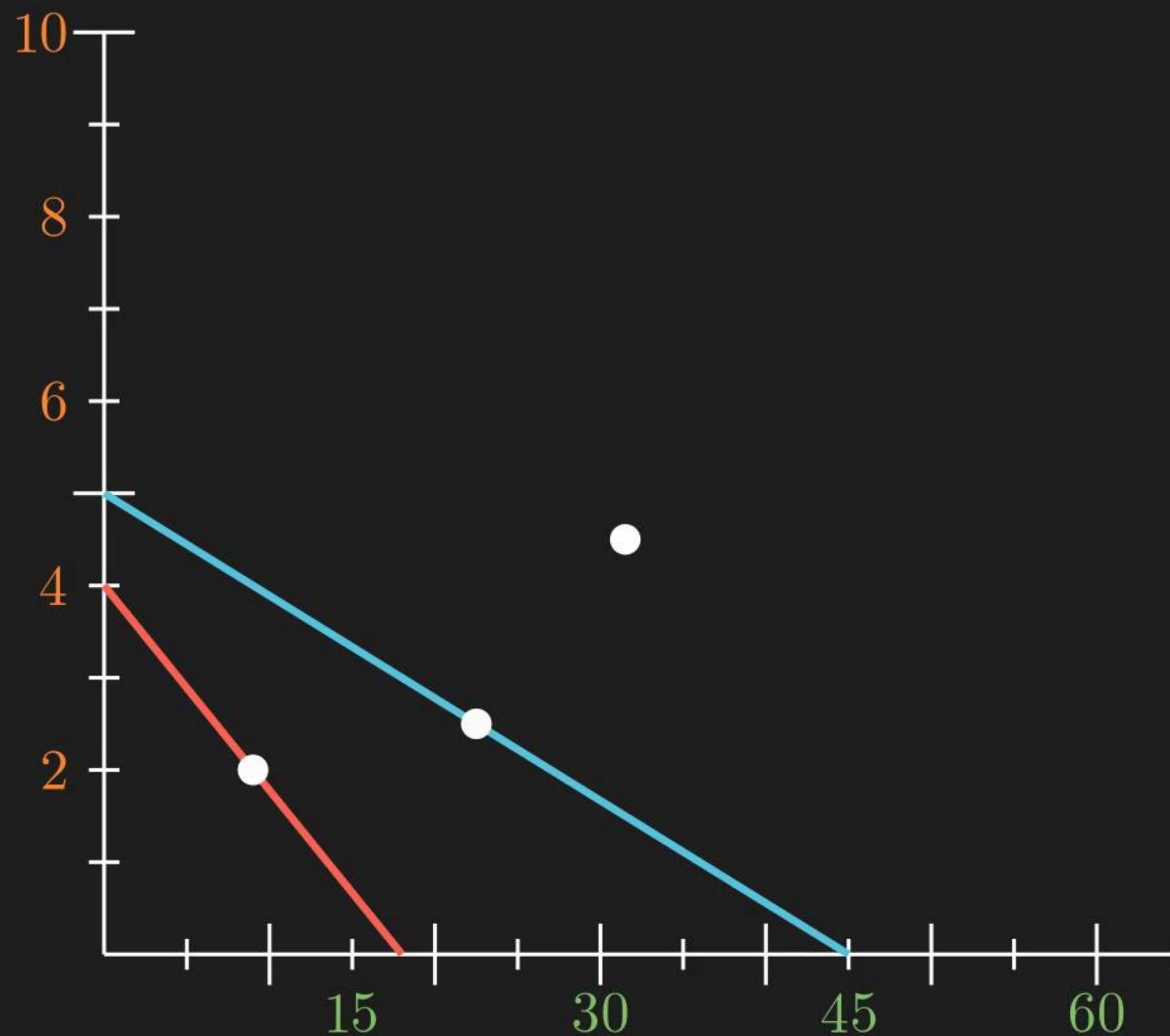
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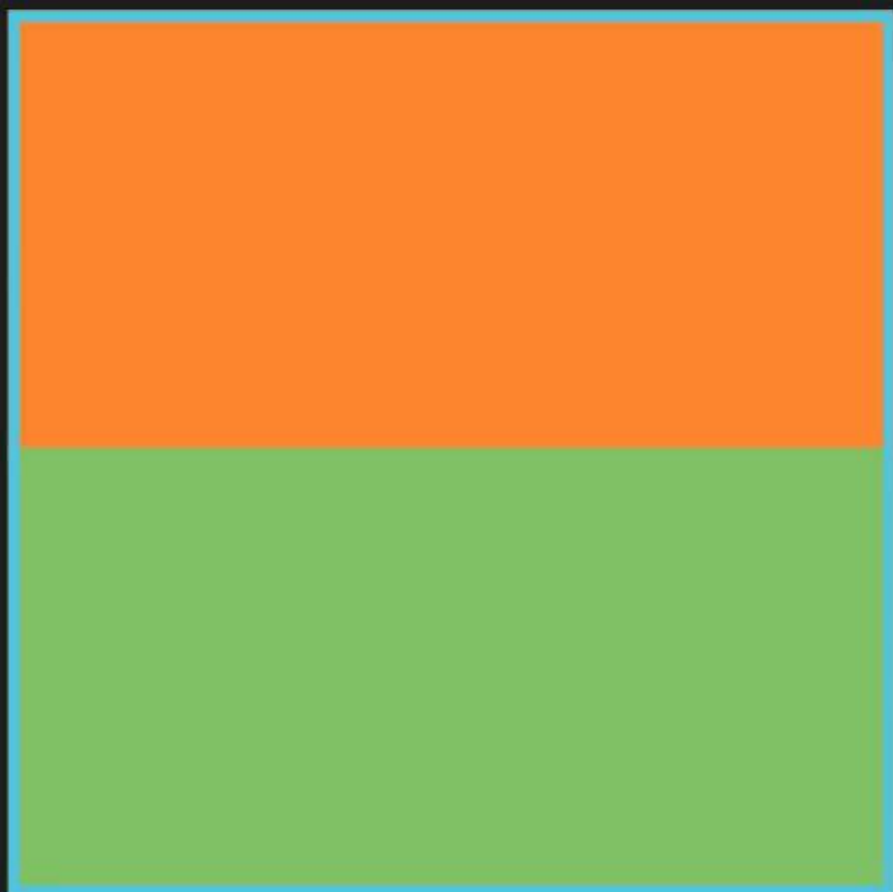


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Guild PPF (no specialization)

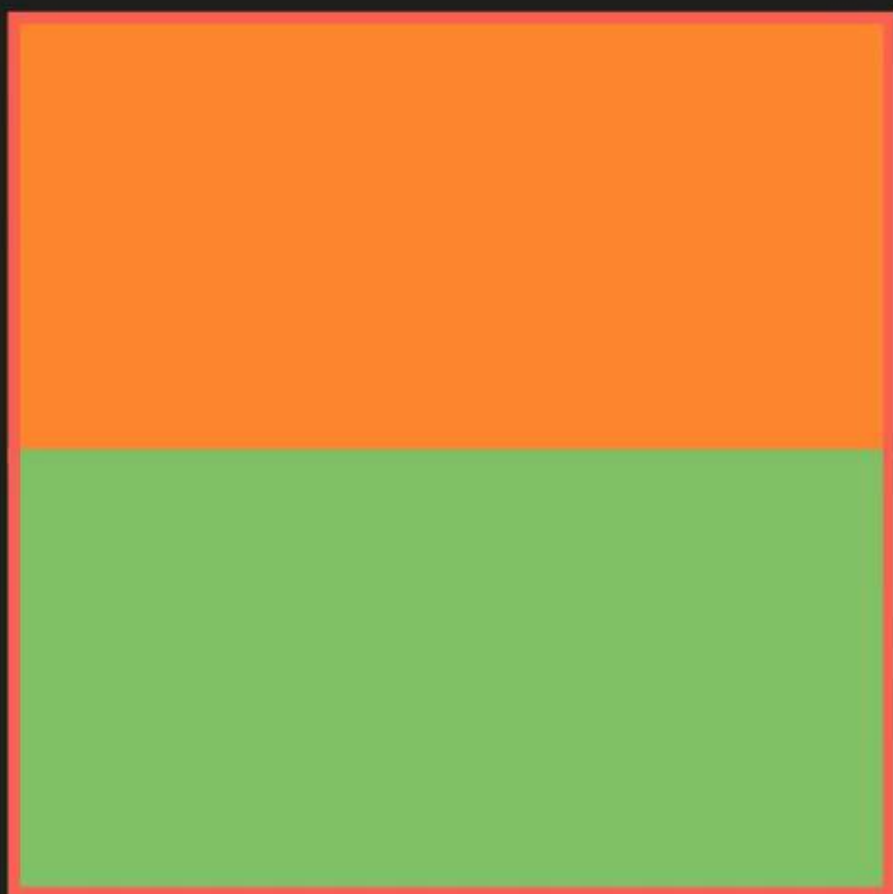


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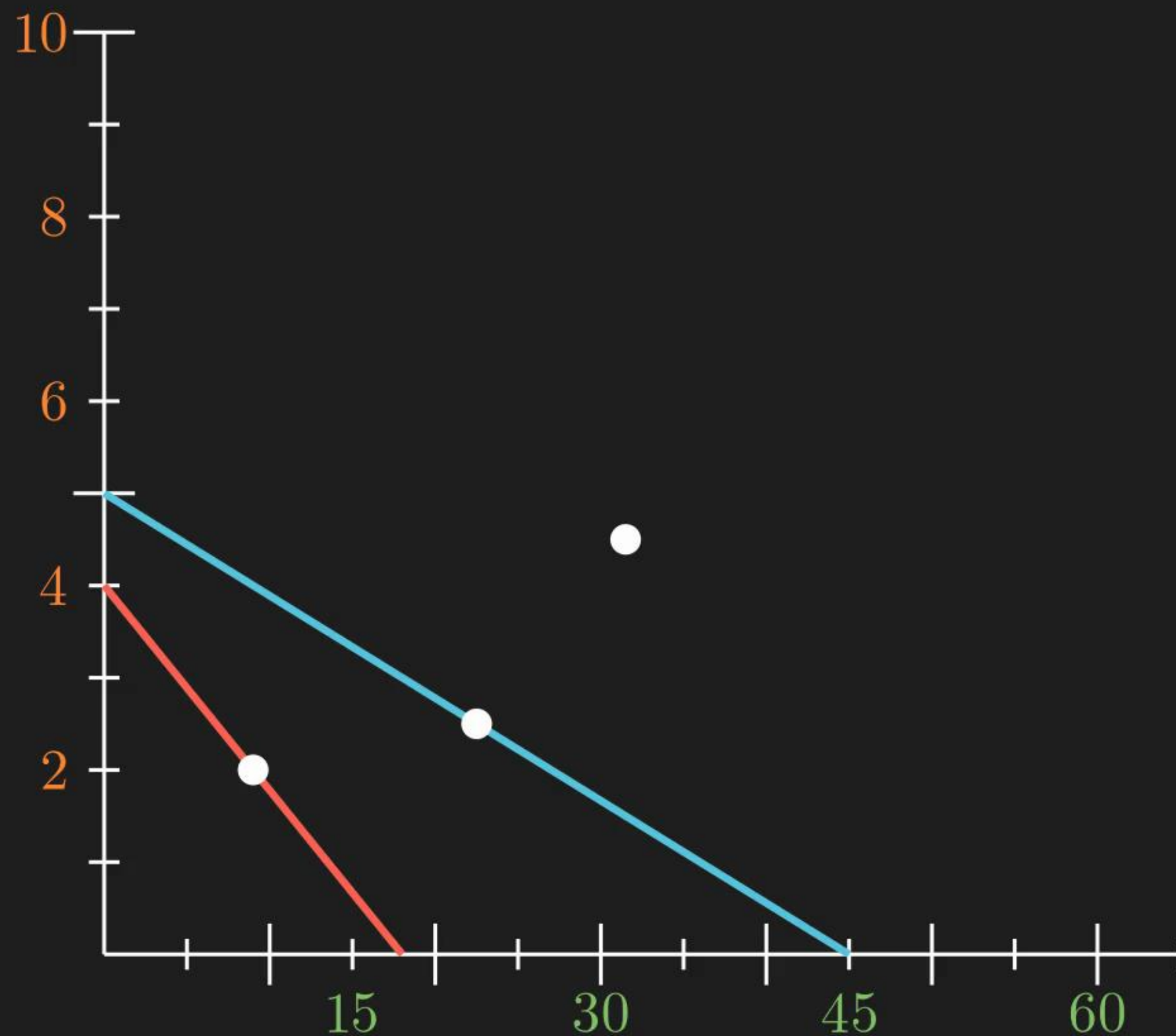
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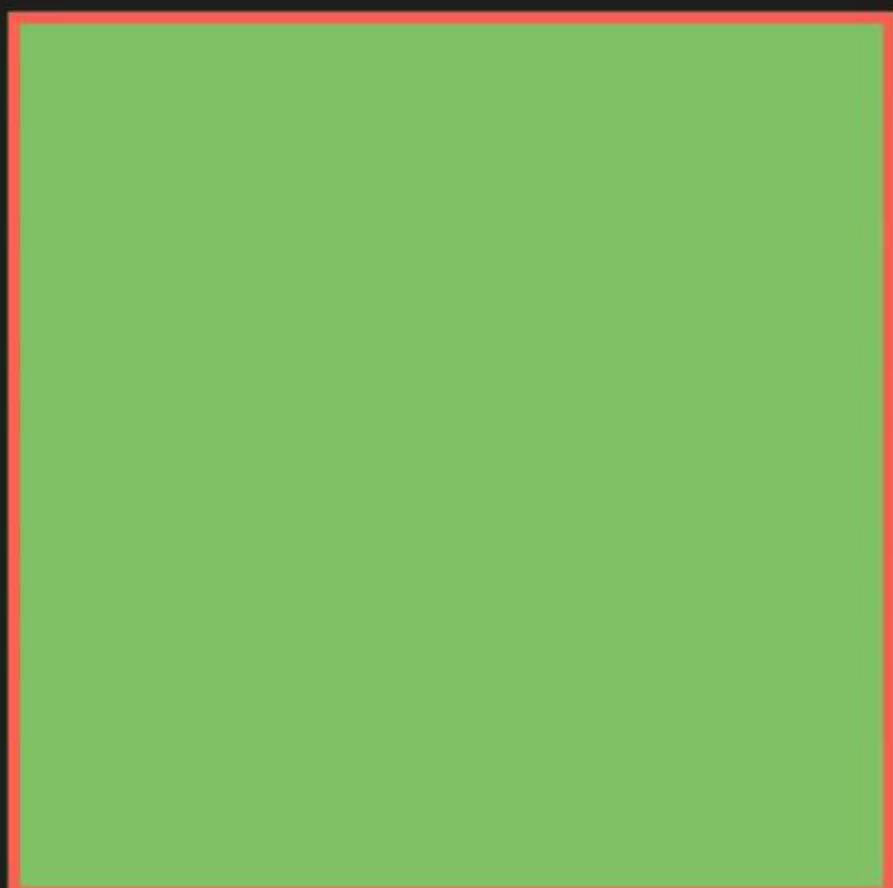


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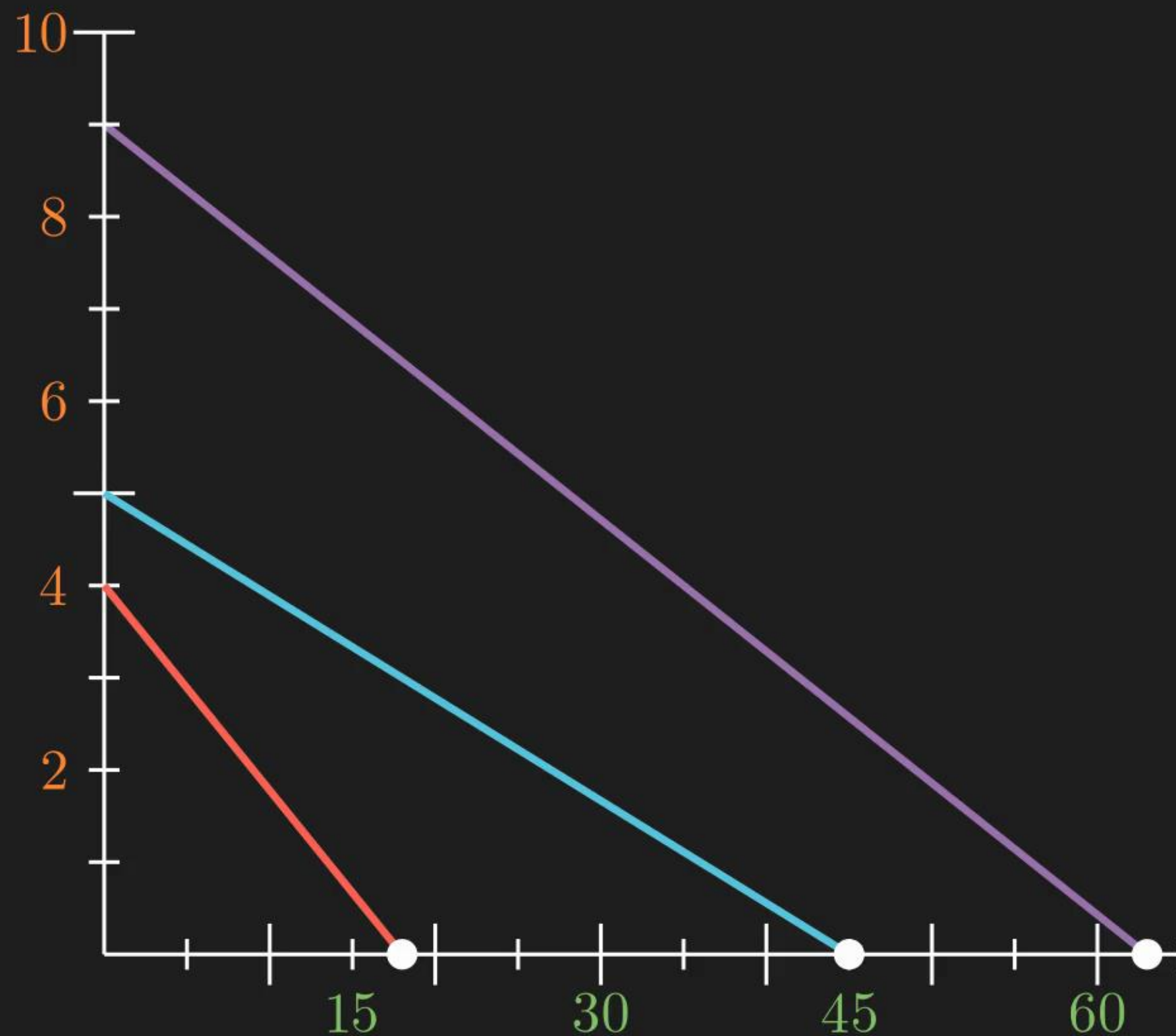
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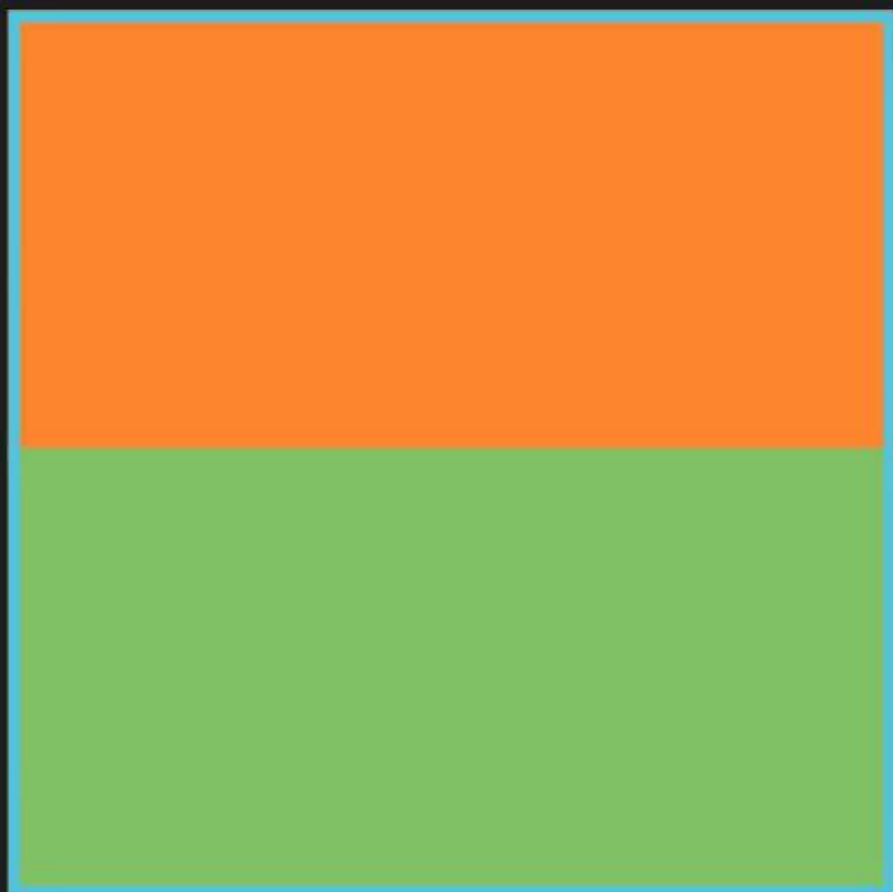


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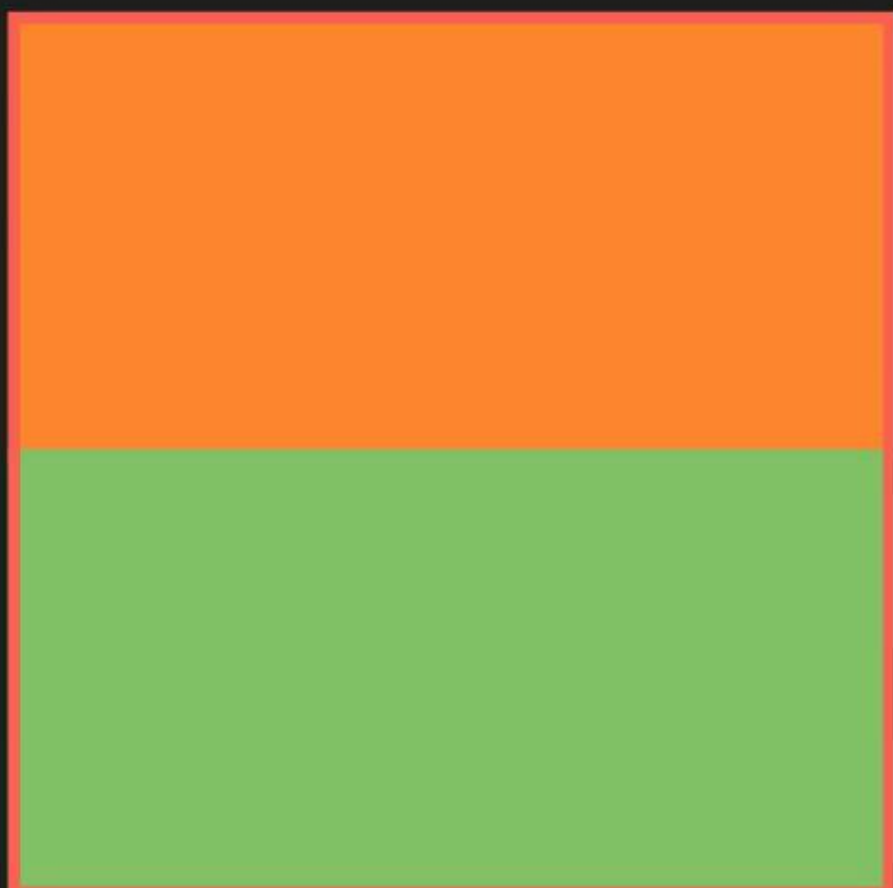


Molly



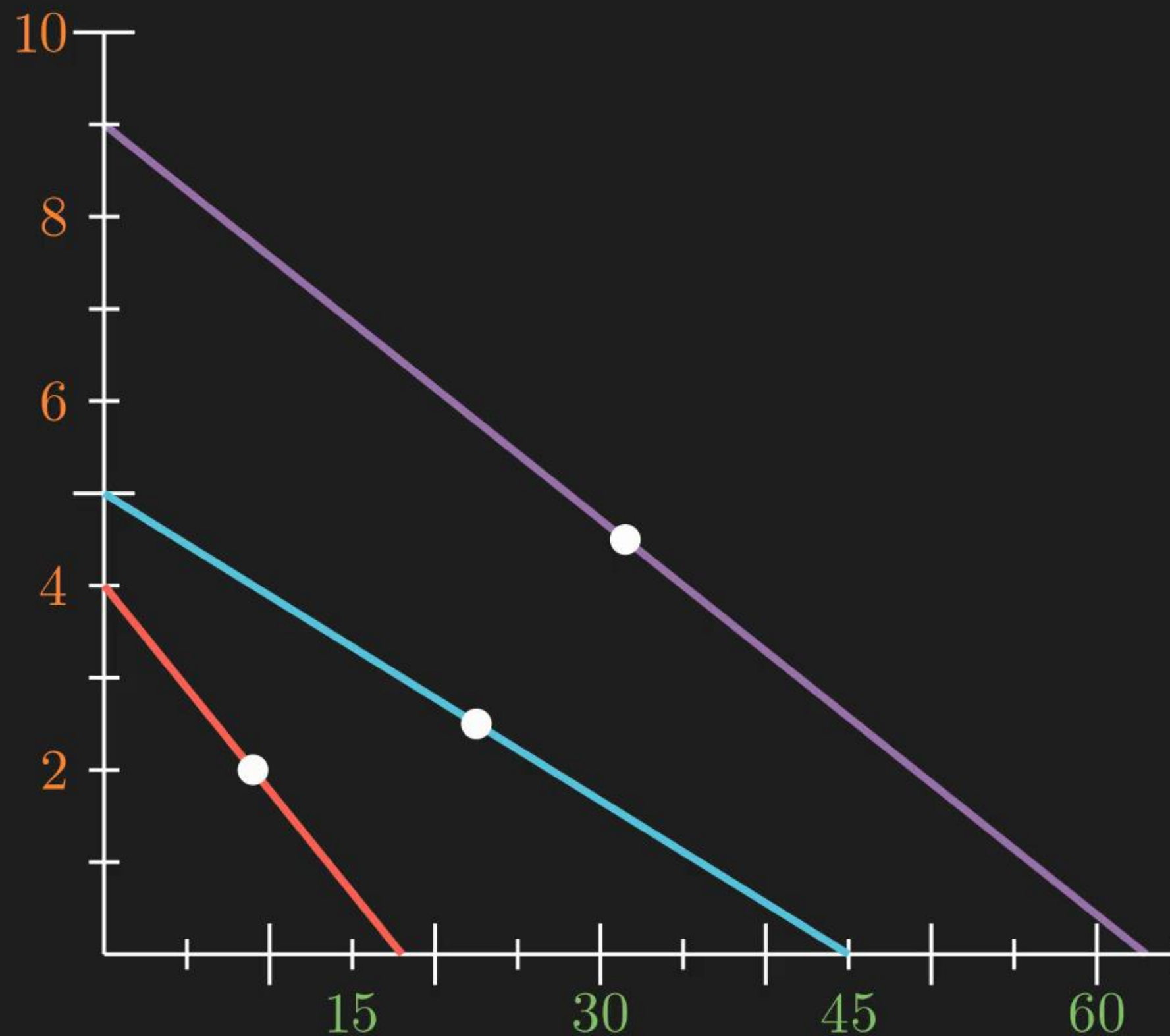
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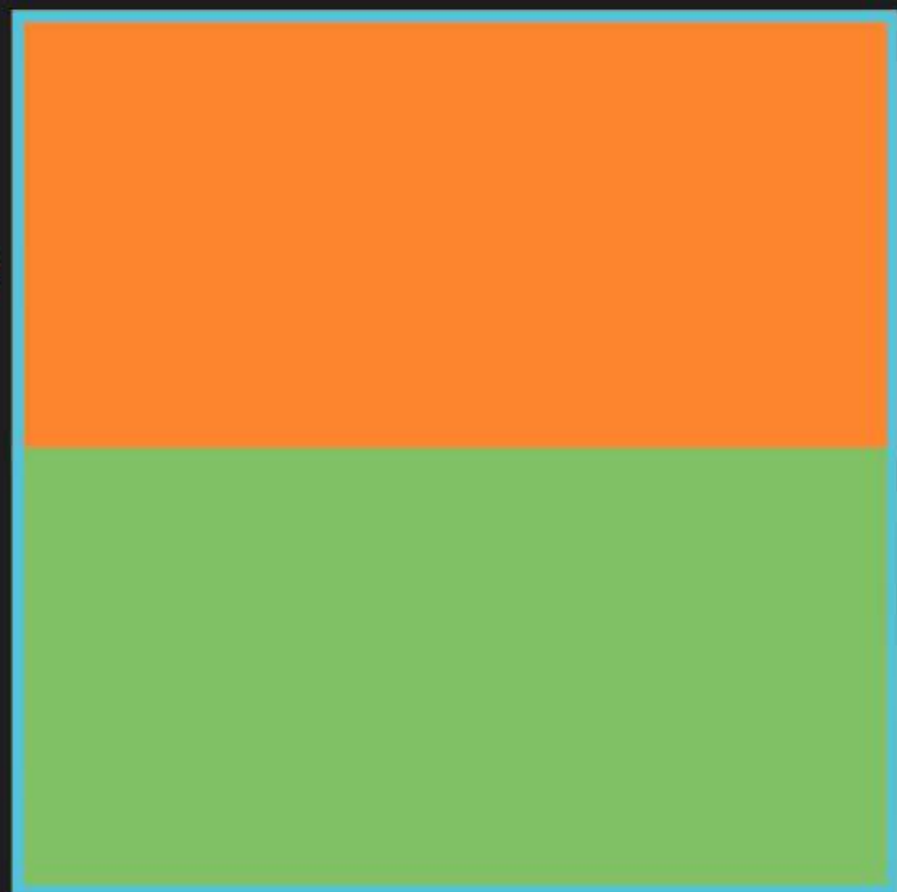


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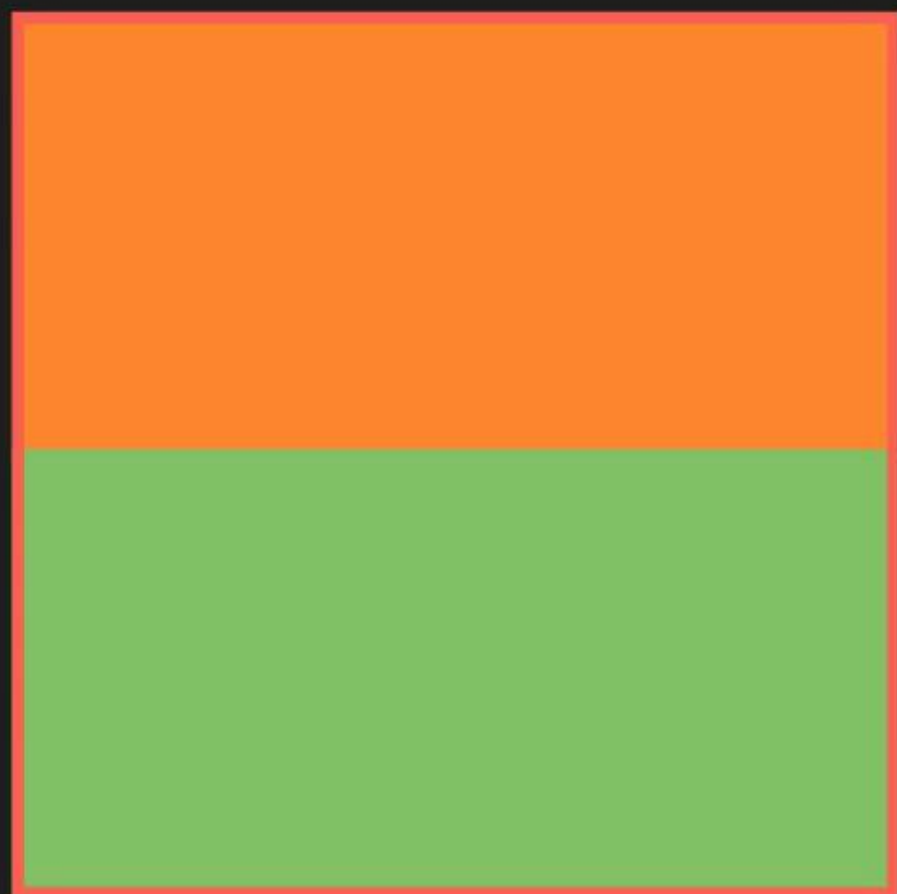
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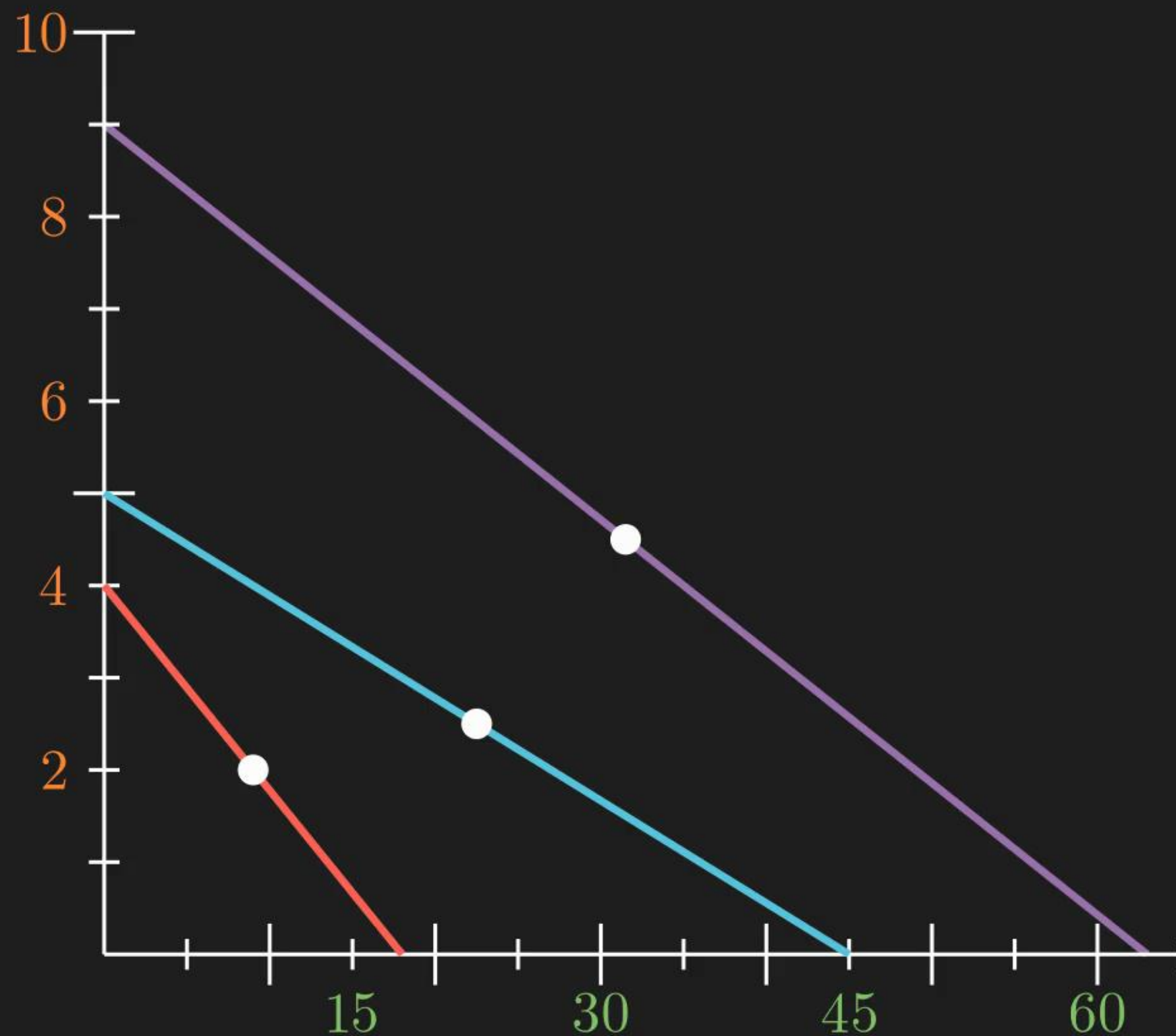
Spinach

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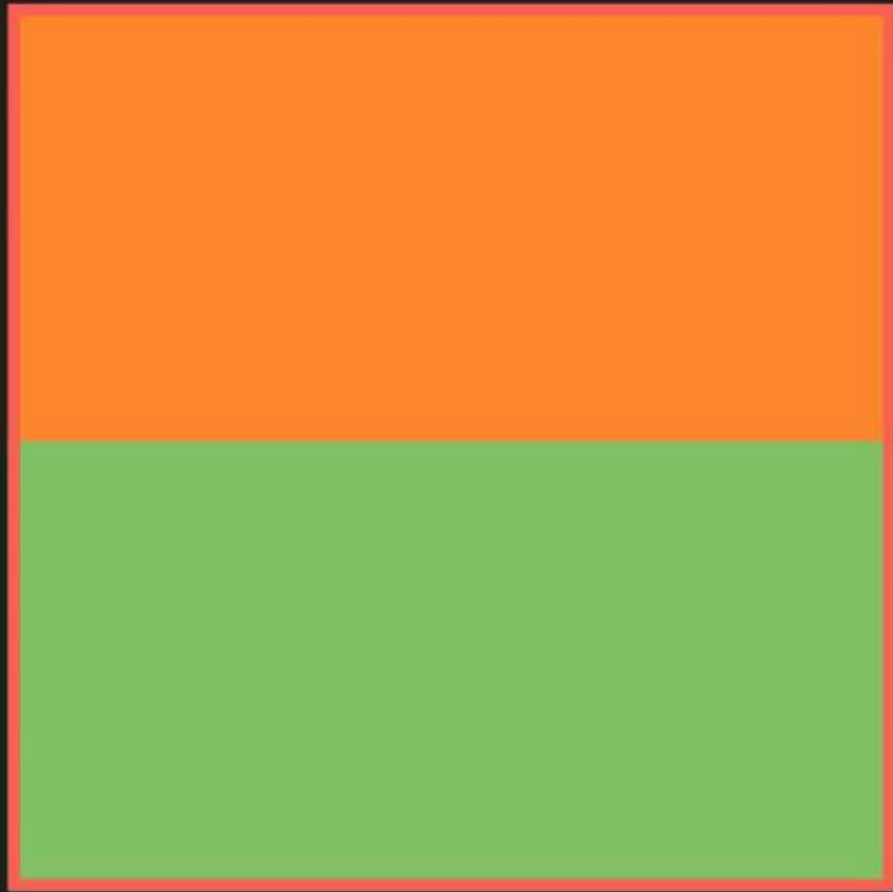


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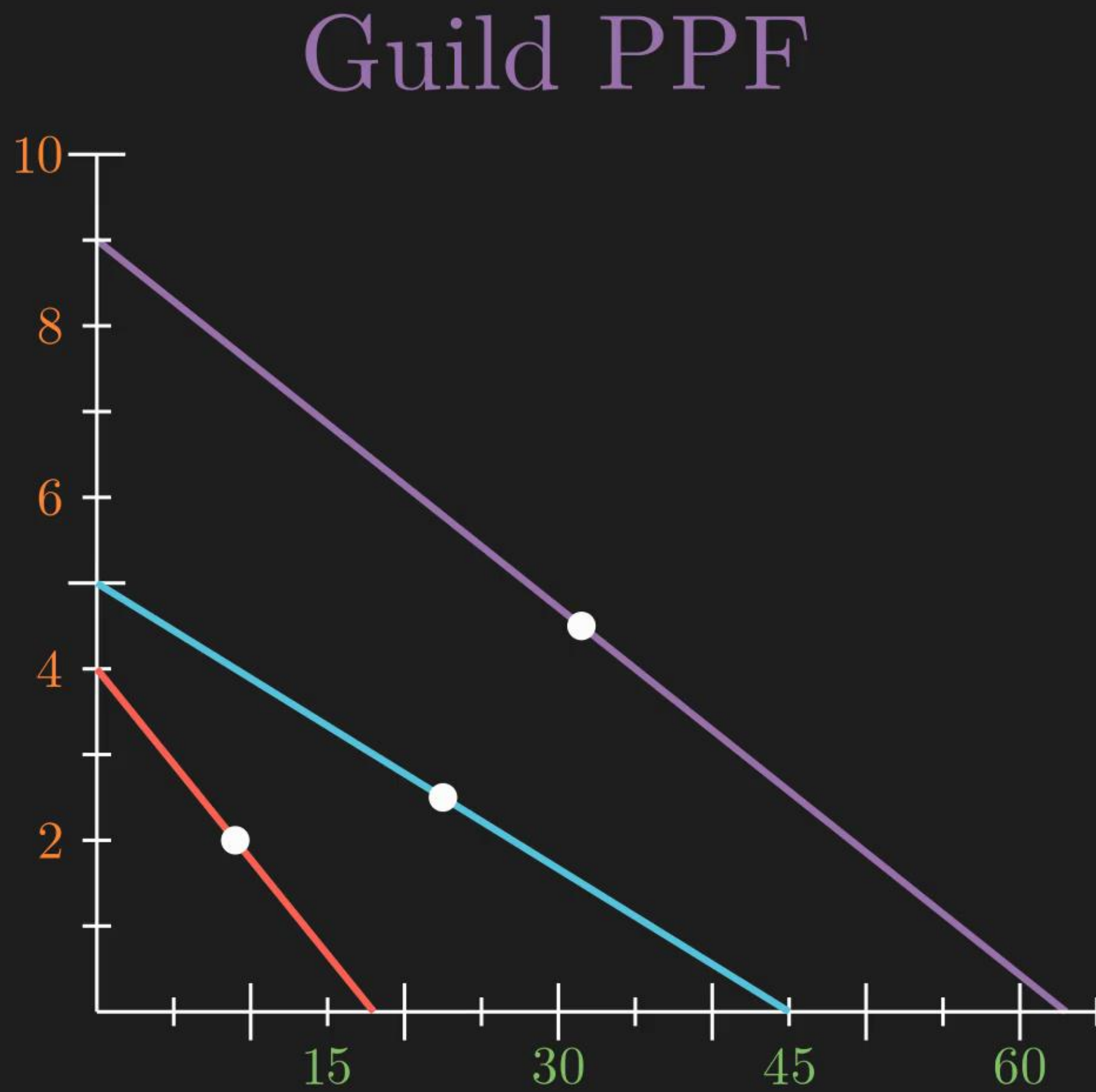
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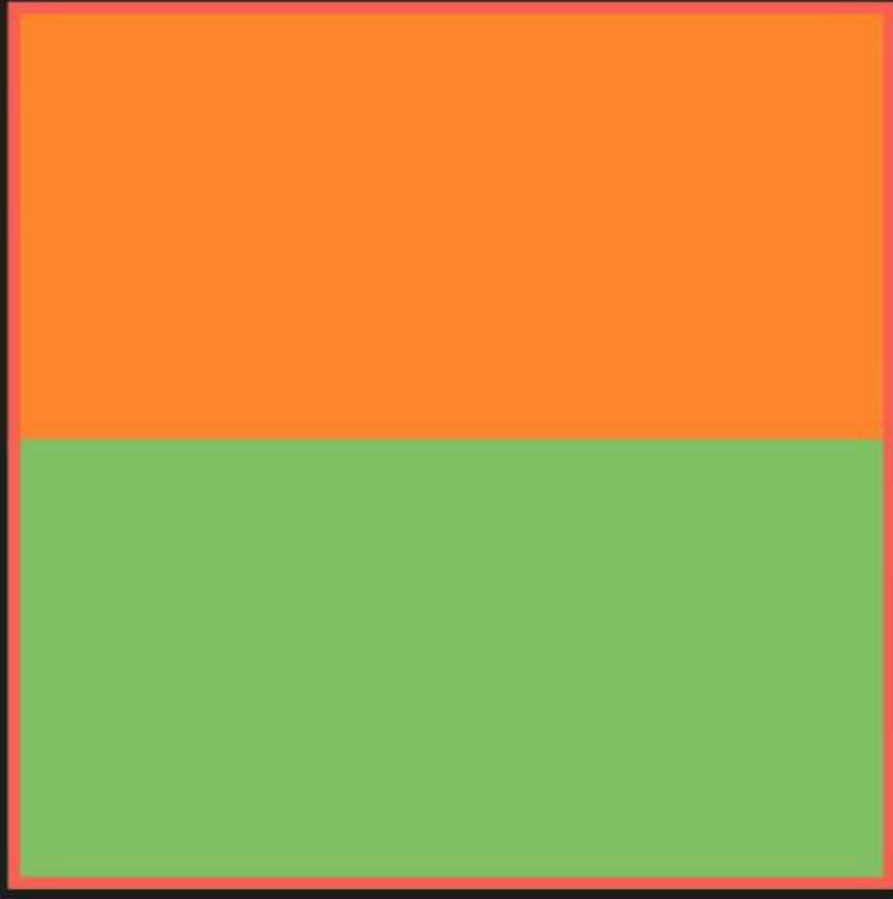


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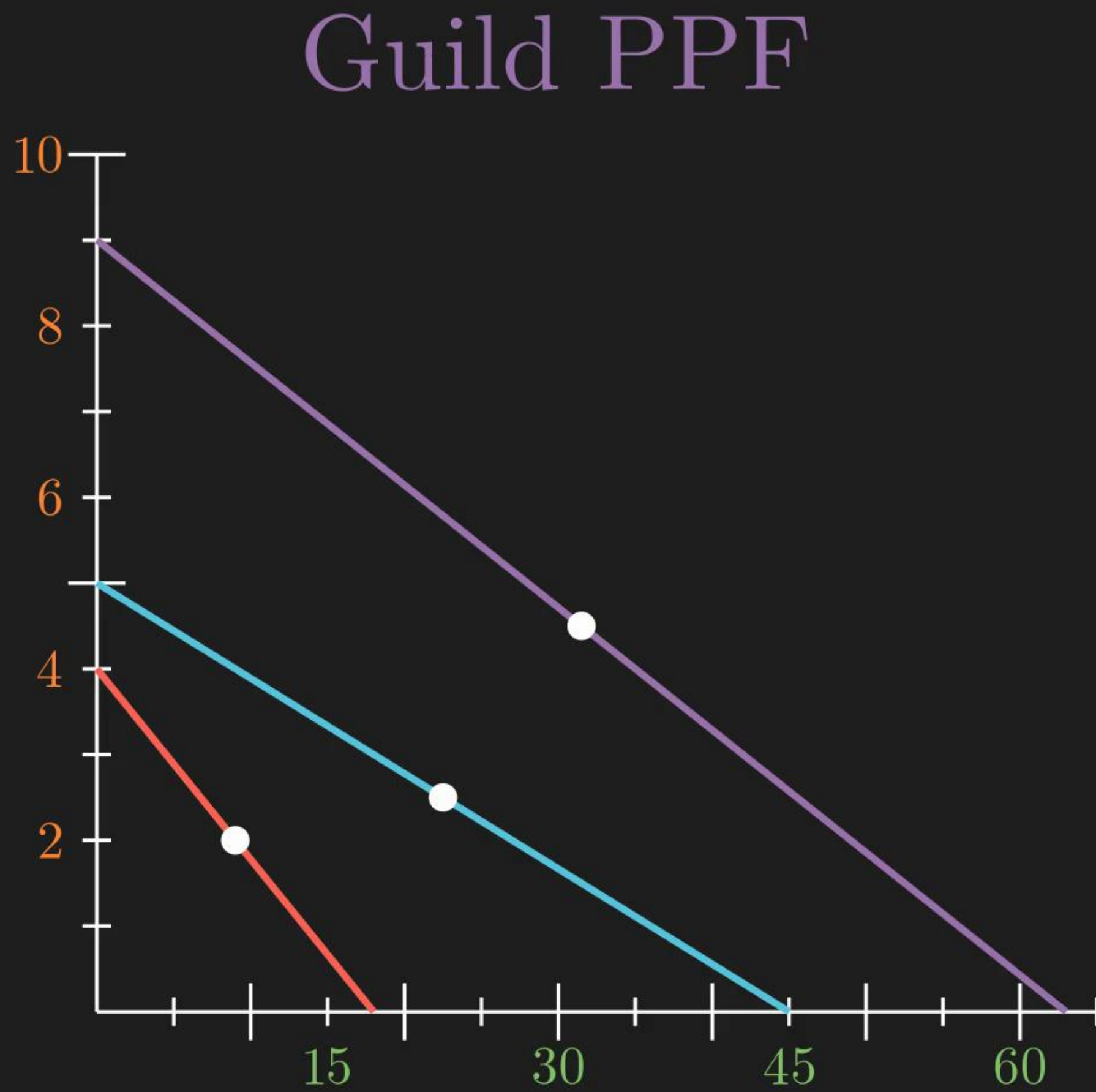
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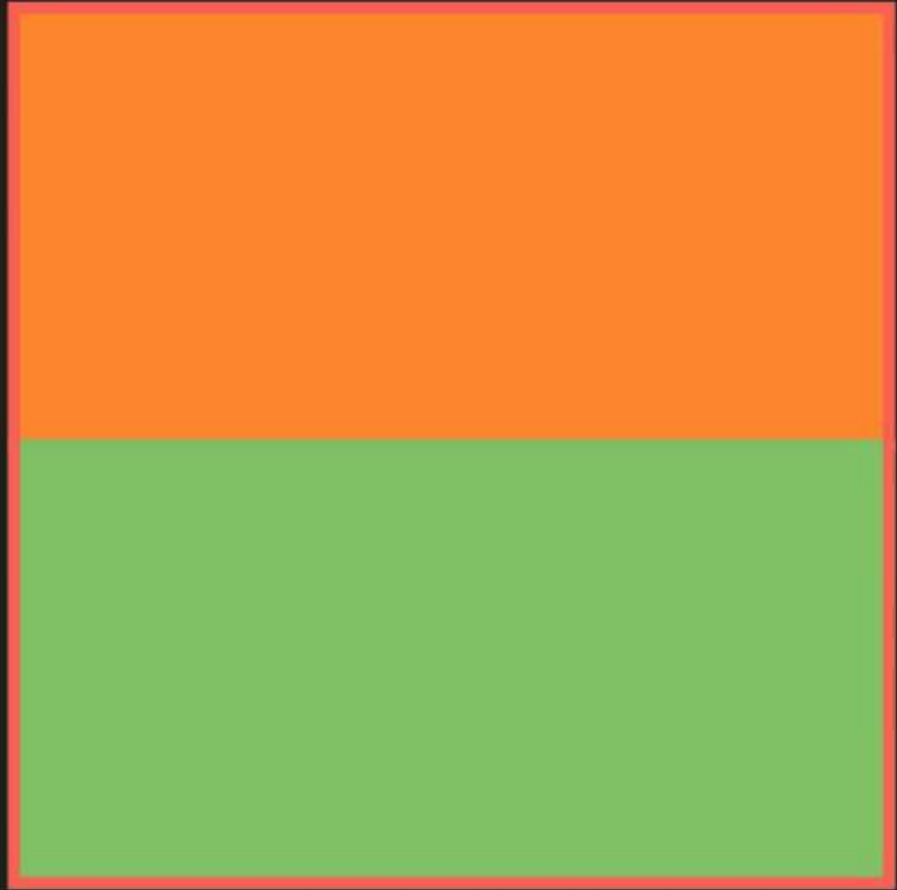


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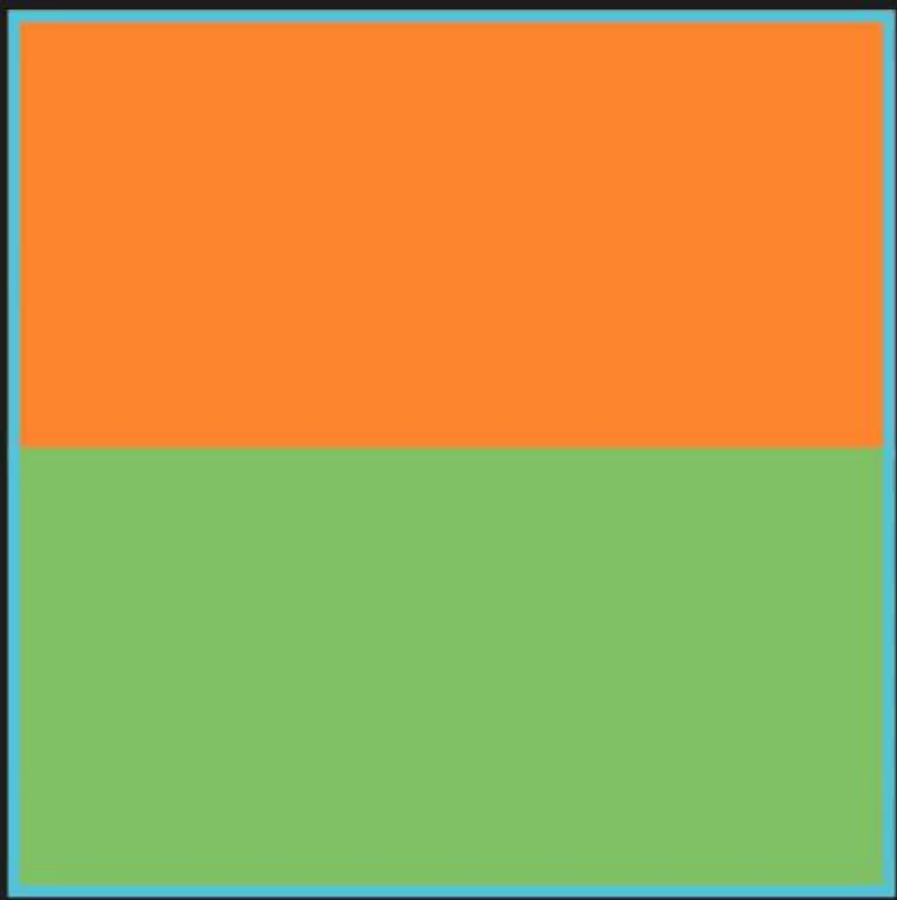
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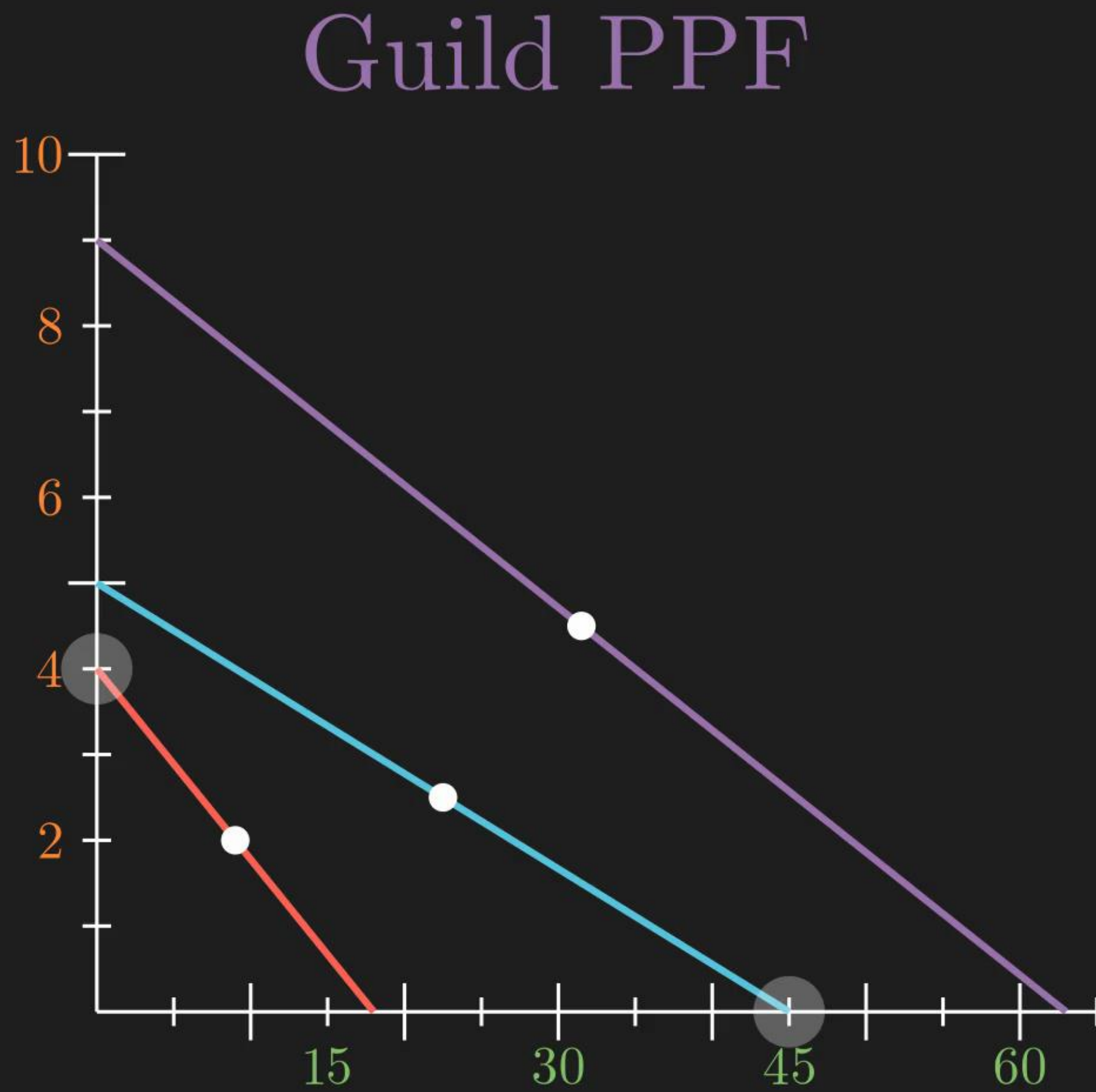
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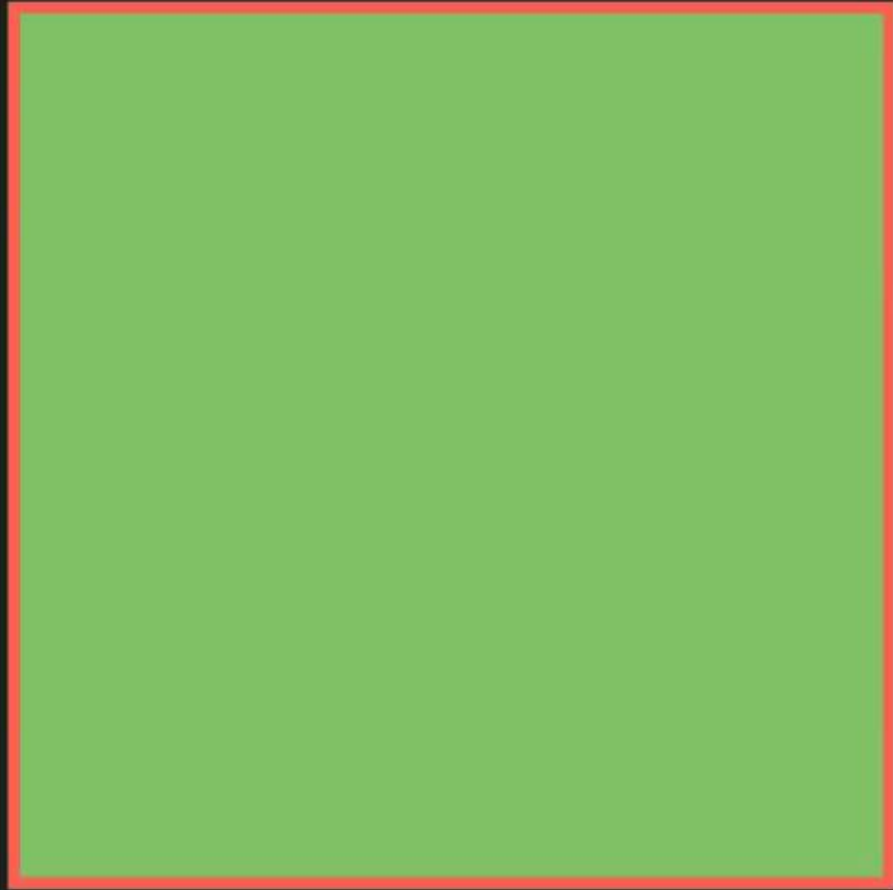


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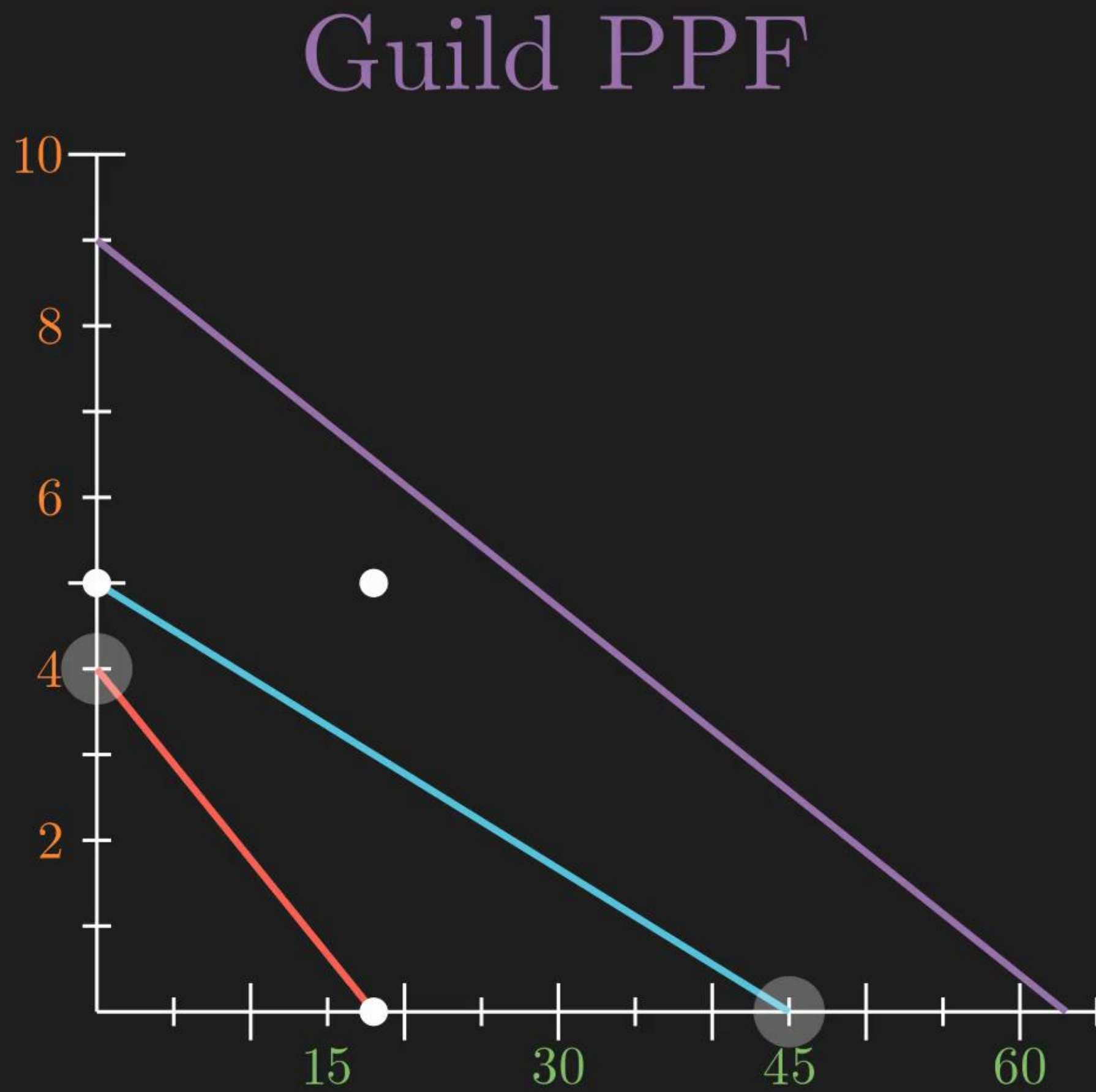
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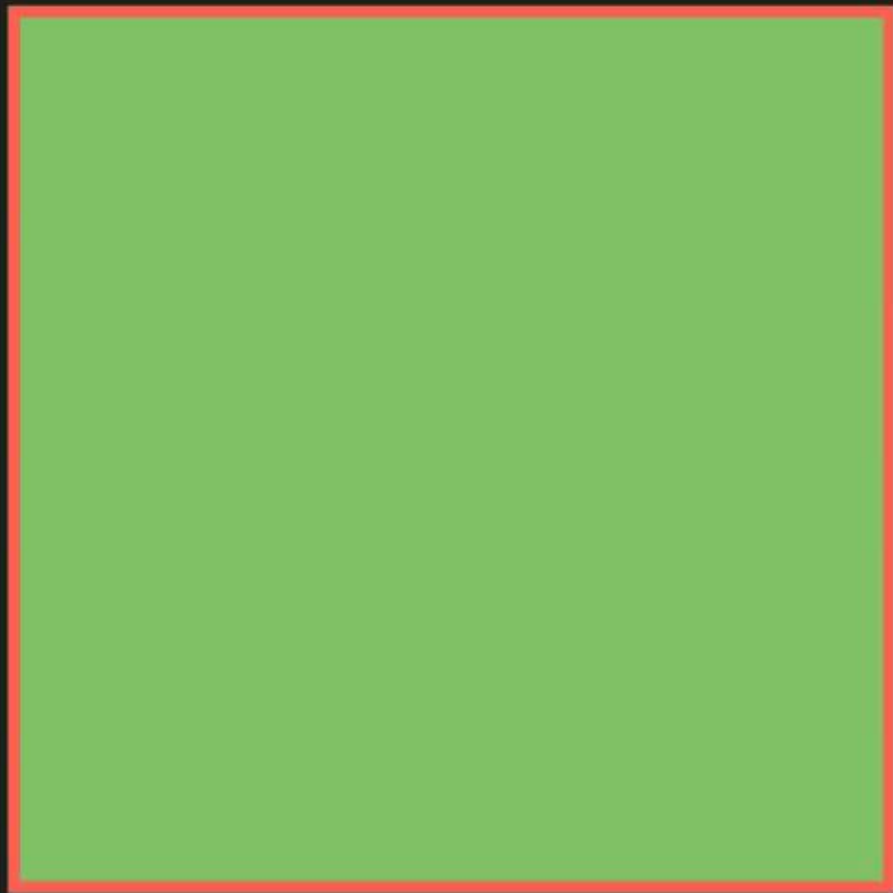


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Gains From Specialization

